Tollgate Crossing

Receivership proposal | First-year stabilization budget | Submitted to Ashcombe Consortium special-servicing committee

RECOMMENDATION	CAPACITY DISCLOSURE
Recommend appointing Ashcombe Partners as receiver-manager, subject to the committee's 14 October 2025 selection. We will stabilize cash controls, priority repairs and qualified leasing activity around a transparent first-year budget.	**Ashcombe has no in-house construction arm and only one staff accountant.** We address both constraints openly: Northline Project Services is budgeted as an external construction-management provider at **$12,000 per month / $144,000 for the year**, and Cedar Ledger provides a $3,000-per-month fractional-controller review.

Decision in plain English

Sourced situation. Ashcombe Consortium assumed control of Tollgate Crossing on 14 Jun 2025 after borrower default. The 148,600-sf neighborhood retail center was 72,900 sf occupied at takeover, or **49.1% physical occupancy**. The committee is selecting the receiver-manager; Ashcombe Partners has not been appointed.

Why this needs action. The center is half-vacant, has deferred maintenance and active vendor obligations, and needs disciplined cash reporting while leasing conversations mature. The first-year plan keeps operating performance distinct from tenant-improvement, leasing-commission and capital-repair cash uses so the committee can see both NOI and the stabilization cash requirement.

OPENING OCCUPANCY	12-MONTH LEASING ASSUMPTION	PROJECTED STABILIZATION	FY NET CASH BEFORE FINANCING
49.1% **72,900 / 148,600 sf**	**6,000 sf / quarter** 24,000 sf new executed leases; 1,200 sf Q4 move-out	**64.4%** **95,700 sf occupied after stated move-ins and move-out**	**$378,255** **NOI less below-NOI stabilization uses; before financing**

Submission status: Approved for submission under Paloma Zieliński's name, Senior Property Manager, Ashcombe Partners. This is a proposal to Ashcombe Consortium; no award is represented or implied.

First-Year Operating and Stabilization Plan

Sourced facts are drawn from the workbook intake. **Proposed actions** are Ashcombe's execution commitments. **Management assumptions** are labeled and are not promises of leasing or cash performance.

Timing	Action and basis
0-30 days	**Proposed actions:** establish property bank-control calendar; inventory vendor commitments; issue priority-repair scope to Northline; validate rent roll and receivables. **Sourced control:** immediate escalation for safety/casualty, a projected cash shortfall above $25,000, or commitments above $15,000 outside approved scope.
31-90 days	**Proposed actions:** sequence life-safety and roof/drainage work; pursue the documented Northstar and Poppin Bowl next actions; publish first quarterly leasing pace checkpoint. **Management assumption:** 6,000 sf of new executed leases per quarter, subject to tenant decisions.
Months 4-12	**Proposed actions:** govern tenant-improvement and commission uses against executed lease documents, refresh cash forecast, and report stabilization progress. **Management assumption:** 24,000 sf of move-ins less a 1,200-sf Q4 move-out reaches 95,700 sf / 64.4% occupancy; it is not a signed-lease forecast.

Controls, reporting and escalation

Cadence	Committee-facing deliverable	Control owner
Weekly	Friday dashboard: cash position, leasing activity, vendor status and exceptions.	Ashcombe property lead
Every other week	Field update call with committee representative.	Ashcombe property lead
Monthly	Reporting package by the 12th business day: bank reconciliation, rent roll, budget variance, receivables aging and capital/stabilization tracker.	Ashcombe property lead; Cedar Ledger reviews monthly package
Within 1 business day	Escalate safety/casualty events, a projected cash shortfall above $25,000, or vendor commitments above $15,000 outside approved scope.	Ashcombe property lead

Accounting-capacity mitigation

The single staff accountant maintains the property ledger and cash calendar. Cedar Ledger, the sourced external fractional-controller resource, independently reviews bank reconciliation, rent roll, budget variance, receivables aging and the capital/stabilization tracker before the monthly package. The property lead reviews exceptions with Paloma; threshold exceptions follow the one-business-day escalation commitment. This assigns review and escalation without representing a larger internal accounting department.

Construction delivery model

Ashcombe will direct the property plan and vendor approvals; Northline Project Services will coordinate construction scopes, schedule and project reporting. Northline is external, not an Ashcombe department. Its visible operating expense allowance is $12,000 each month ($144,000 full year); scope changes remain subject to the escalation thresholds above.

Local Leasing Case and Milestones

The local advantage is access and follow-through, not a claim of commitments. The following evidence is sourced from the relationship register.

Ashcombe lead	Documented relationship	Sourced status	Next action	Timing
Ravi Ricciardi	Ravi knows Morgan Lee, site selector for Northstar Grocer.	Introductory call completed; Morgan requested a demographic packet. No LOI or negotiated terms.	Send current site plan and demographic packet; arrange center tour.	18 Jul 2025
Bekele Vanterpool	Bekele knows Daria Howell, regional leasing director for Poppin Bowl.	Exploratory interest in 4,000-6,000 sf; proposal meeting pending. No commitment.	Confirm space range and prepare preliminary availability.	09 Apr 2025 (see date note)

What the evidence supports

Sourced fact: Ravi Ricciardi's introductory call with Northstar Grocer's site selector is complete, and the requested packet and tour are next. **Sourced fact:** Bekele Vanterpool's Poppin Bowl contact has exploratory interest in 4,000-6,000 sf, with an availability discussion pending. Neither is a signed lease, LOI, negotiated term sheet or binding commitment. **Management assumption:** the underwriting pace is 6,000 sf of new executed leases per quarter; actual timing, area and economics remain tenant-dependent.

Milestone calendar

Milestone	Displayed date	Status / basis
Ravi / Northstar tour target	18 Jul 2025	relationship register
Northline project-priority review	14 Aug 2025	delivery plan
Bekele / Poppin Bowl availability meeting	09 Apr 2026*	relationship register
First quarterly leasing pace checkpoint	30 Sep 2025	leasing pace assumption
Q4 anticipated move-out	31 Dec 2025	move-out assumption

* **Date interpretation adopted:** the source contains the slash-delimited text "04/09/2026" without a controlling locale. This proposal consistently reads it as **09 Apr 2026 (MM/DD/YYYY)**. Other displayed dates are normalized from unambiguous workbook dates.

Leasing pace checkpoint: 6,000 sf per quarter. At that pace, 24,000 sf of new executed leases over the year, less the stated 1,200-sf Q4 move-out, produces 95,700 sf occupied / 64.4% projected stabilization occupancy. This is an execution assumption, not a committed result.

First-Year Monthly Budget

USD ($000s), one decimal. Positive figures are inflows, costs, and uses; NOI and net cash are presented as revenues less costs. Below-NOI stabilization uses do not reduce NOI. Totals are calculated from the source-designated lines.

Budget line (USD $000s)	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	H1	H2	FY
Base rent	$105.0	$105.0	$106.5	$106.5	$106.5	$108.0	$108.0	$111.0	$111.0	$111.0	$114.0	$114.0	$637.5	$669.0	$1,306.5
Expense recoveries	$31.0	$31.0	$31.5	$31.5	$31.5	$32.0	$32.0	$33.5	$33.5	$33.5	$35.0	$35.0	$188.5	$202.5	$391.0
Parking and other income	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$4.5	$27.0	$27.0	$54.0
Total operating revenue	$140.5	$140.5	$142.5	$142.5	$142.5	$144.5	$144.5	$149.0	$149.0	$149.0	$153.5	$153.5	$853.0	$898.5	$1,751.5
Site payroll	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$18.5	$111.0	$111.0	$222.0
Utilities	$12.8	$13.5	$12.8	$11.8	$12.4	$14.5	$15.8	$16.2	$14.5	$13.0	$12.5	$13.2	$77.8	$85.2	$163.0
Repairs and maintenance	$19.0	$18.5	$17.5	$16.5	$15.5	$14.5	$12.5	$12.0	$12.0	$12.0	$12.5	$12.5	$101.5	$73.5	$175.0
Security	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$8.3	$49.8	$49.8	$99.6
Property taxes	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$9.7	$58.2	$58.2	$116.4
Insurance	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$6.1	$36.6	$36.6	$73.2
Accounting review support	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$18.0	$18.0	$36.0
External construction management	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$12.0	$72.0	$72.0	$144.0
Management and receiver compensation	$4.2	$4.2	$4.3	$4.3	$4.3	$4.3	$4.3	$4.5	$4.5	$4.5	$4.6	$4.6	$25.6	$27.0	$52.5
Total operating expenses	$93.6	$93.8	$92.2	$90.2	$89.8	$90.9	$90.2	$90.3	$88.6	$87.1	$87.2	$87.9	$550.5	$531.3	$1,081.7
Net operating income (NOI)	$46.9	$46.7	$50.3	$52.3	$52.7	$53.6	$54.3	$58.7	$60.4	$61.9	$66.3	$65.6	$302.5	$367.2	$669.8
Tenant improvements [below NOI]	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$20.0	$25.0	$30.0	$25.0	$20.0	$15.0	$0.0	$135.0	$135.0
Leasing commissions [below NOI]	$0.0	$0.0	$0.0	$7.5	$0.0	$0.0	$0.0	$12.0	$0.0	$0.0	$12.0	$0.0	$7.5	$24.0	$31.5
Capital repairs [below NOI]	$35.0	$30.0	$25.0	$15.0	$10.0	$5.0	$5.0	$0.0	$0.0	$0.0	$0.0	$0.0	$120.0	$5.0	$125.0
Total below-NOI stabilization uses	$35.0	$30.0	$25.0	$22.5	$10.0	$5.0	$25.0	$37.0	$30.0	$25.0	$32.0	$15.0	$127.5	$164.0	$291.5
Net cash before financing	$11.9	$16.7	$25.3	$29.8	$42.7	$48.6	$29.3	$21.7	$30.4	$36.9	$34.3	$50.6	$175.0	$203.2	$378.3

Visible capacity costs: **Accounting review support** is Cedar Ledger's $3,000 monthly fractional-controller review. **External construction management** is Northline Project Services at $12,000 monthly; neither is presented as an internal Ashcombe function.

Half-Year Comparison and Material Drivers

Dollar change = H2 minus H1. Percentage change = dollar change / H1 where H1 is nonzero. “NM - new cost” is used where H1 is zero; it is not an ordinary percentage. A line is material if the absolute dollar change is at least $17,500 or the absolute percentage change is at least 14%.

Line item	H1	H2	FY	$ change	% change	Material?
Base rent	$637,500	$669,000	$1,306,500	$31,500	+4.9%	YES
Expense recoveries	$188,500	$202,500	$391,000	$14,000	+7.4%	No
Parking and other income	$27,000	$27,000	$54,000	$0	+0.0%	No
Site payroll	$111,000	$111,000	$222,000	$0	+0.0%	No
Utilities	$77,800	$85,200	$163,000	$7,400	+9.5%	No
Repairs and maintenance	$101,500	$73,500	$175,000	$-28,000	-27.6%	YES
Security	$49,800	$49,800	$99,600	$0	+0.0%	No
Property taxes	$58,200	$58,200	$116,400	$0	+0.0%	No
Insurance	$36,600	$36,600	$73,200	$0	+0.0%	No
Accounting review support	$18,000	$18,000	$36,000	$0	+0.0%	No
External construction management	$72,000	$72,000	$144,000	$0	+0.0%	No
Management and receiver compensation	$25,590	$26,955	$52,545	$1,365	+5.3%	No
Tenant improvements	$0	$135,000	$135,000	$135,000	NM - new cost	YES
Leasing commissions	$7,500	$24,000	$31,500	$16,500	+220.0%	YES
Capital repairs	$120,000	$5,000	$125,000	$-115,000	-95.8%	YES

Comparison convention disclosure: “NM - new cost” is applied only to a zero H1 denominator. The Tenant improvements line still qualifies as material by its $135,000 H2 increase and is explained on the following page.

Material Variances: Source-Supported Explanation

All material source-designated revenue, operating-expense and below-NOI use lines are identified below. Dollar amounts compare H2 with H1; “NM” follows the disclosed zero-base convention.

Material line	H2 vs H1	Explanation from supplied underwriting / budget driver
Base rent	$31,500 / +4.9%	New leases are assumed to commence as scheduled in the leasing plan.
Repairs and maintenance	$-28,000 / -27.6%	Deferred-maintenance triage is front-loaded; recurring repairs normalize after December.
Tenant improvements	$135,000 / NM - new cost	Allowance begins after lease documentation and turnover planning in January.
Leasing commissions	$16,500 / +220.0%	Commission cash use follows assumed executed leasing pace.
Capital repairs	$-115,000 / -95.8%	Priority life-safety and roof/drainage repairs are front-loaded from the project register.

What changes in the operating picture

Total operating revenue rises from $853,000 in H1 to $898,500 in H2 (+5.3%), driven by the source base-rent and recovery schedules associated with the stated leasing plan. Total operating expenses move from $550,490 to $531,255; their components are shown individually in the budget, including the fixed external construction-management and accounting-review costs. NOI therefore moves from $302,510 to $367,245. Below-NOI stabilization uses are separately visible: capital repairs are front-loaded, while tenant improvements and leasing commissions follow the source timing assumptions.

No driver is inferred from market conditions or tenant commitment. Where the workbook gives a timing or pricing basis, that basis is quoted in the table; where it does not, the proposal does not supply one.

Risks, Boundaries and Submission

Principal risk	Bounded exposure	Practical mitigation
Leasing execution	The 6,000-sf-per-quarter pace is an underwriting assumption; Northstar and Poppin Bowl are active relationship evidence only, with no LOI or commitment.	Use documented next actions, report weekly activity, and reforecast occupancy/cash monthly; do not spend tenant-improvement allowance ahead of lease documentation.
Construction delivery	Ashcombe has no construction arm; priority capital and deferred-maintenance work requires external coordination.	Northline coordinates scopes, schedules and reporting at the sourced $12,000 monthly allowance. Escalate out-of-scope vendor commitments above $15,000 within one business day.
Accounting depth and cash	One staff accountant is a real concentration risk during takeover and active repair spend.	Cedar Ledger reviews the monthly control package; Paloma reviews exceptions; cash shortfall above $25,000 is escalated within one business day.
Budget timing	Capital repairs are front-loaded and tenant-improvement uses begin in H2; actual cash timing can differ from the source budget.	Maintain weekly cash dashboard and monthly variance/capital tracker, seeking committee direction when thresholds are reached.

Traceability and use of this proposal

Workbook source: Tollgate_Crossing_committee_inputs.xlsx, Committee intake sheet. Property facts and control status: “Property and operating facts.” Capacity, external providers and pricing: the same table plus the budget driver column. Reporting commitments: “Service commitments proposed to committee.” Leasing relationship evidence and dates: “Documented local leasing relationships” and “First-year milestones.” All budget amounts and classifications: “Proposed first-year operating and stabilization budget - source dollars.” The adjacent fleet / field operations table is not used.

Method: H1 is Jul-Dec 2025; H2 is Jan-Jun 2026. Operating revenue less operating expenses equals NOI. Below-NOI uses are then deducted to show net cash before financing. Occupancy is occupied sf divided by 148,600 sf total GLA. Amounts are rounded to the nearest dollar in this proposal.

Approved for submission

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